Monetization Corporation or Trust would bring twin advantages. CPSEs divested of surplus land parcels would be easier and less controversial to sell. Further, the SPV, managed by real-estate industry professionals, can get the best value for the land as it would be able to use the right monetization strategy/option for each specific parcel of land: outright sale, development of land with capital cost met by creating REIT or leasing of land with or without development.

The record of the government in carrying out economic reforms and privatization transactions has been quite poor (there has not been a single privatization in India after 2003). It would have to deliver an extraordinary performance to achieve the goals of completing the announced privatization of the CPSEs and setting up a functional SPV for land management.

An Alternative Way for Disinvestment and Privatization—Creating a Sovereign Wealth Asset Management Company

The divestment strategy of CPSEs has not been successful for three primary reasons. First, the stock markets do not perceive good value in CPSEs and the market sees oversupply coming from the government as part of the minority stake sale as a big drag. Second, the biggest drag on the performance of CPSEs is administrative control by the concerned ministries that pass on all kinds of directions and instructions of a non-commercial nature. The way PSBs have been micromanaged and directed is the prime reason for their non-professional and non-commercial functioning. This applies to power and many other PSEs. Third, there is no professional management overseeing and directing the functioning of PSEs and PSBs and creation of value in their stocks.

All these shortcomings can be addressed if the Government of India were to create an Indian Sovereign Wealth Fund (ISWF) or a Sovereign Asset Management Company (SAMC). This Fund/SAMC can be created by transferring the government’s stakes in all listed companies as well as